COVER SHEET

C	S	2	0	1	0	1	3	2	8	2

S.E.C. Registration Number

A X E L U M R E S O U R C E S C O R P .

(Company's Full Name)

I C S B L D G . T I A N O - M O N T A L V A N S T S .

C A G A Y A N D E O R O C I T Y

(Business address: No. Street City / Town / Province)

MARIA THERESA Z. PAGUIRIGAN

Contact Person

02-88510731

Company Telephone Number

1	2		3	1

Month Day
Calendar Year

SEC FORM 17-Q

FORM TYPE

Month Day

Registered/Listed

Secondary License Type, If Applicable

Dept. Requiring this Doc.

Amended Articles Number/Section

Total Amount of Borrowings

Total No. of Stockholders

Domestic

Foreign

Top be accomplished by SEC Personnel concerned

LCU

CASHIER

STAMPS

REMARKS = pls. use blank ink for scanning

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER

1. For the quarterly period ended: **September 30, 2025**

2. SEC Identification Number: **CS201013282**

3. BIR Tax Identification No: **007-851-927-000**

4. **AXELUM RESOURCES CORP.**
   Exact name of issuer as specified in its charter:

5. **Cagayan de Oro City, Philippines**
   Province, country or other jurisdiction of incorporation or organization:

6. Industry Classification Code: [ ] (SEC Use Only)

7. **ICS Bldg. Tiano-Montalvan Sts. Cagayan de Oro City** **9000**
   Address of issuer's principal office Postal Code

8. (**632)-8851-0715**
   Issuer's telephone number, including area code:

9. **N/A**
   Former name, former address and former fiscal year, if changed since last report:

10. Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the RSA

Title of each Class	:	**COMMON SHARES**
Number of shares of common stock outstanding as of **September 30, 2025**	:	**3,798,405,500**

11. Are any or all of the securities listed on a Stock Exchange?

    Yes [x] No [ ]

    If yes, state the name of such Stock Exchange and the class/es of securities listed therein:
    PHILIPPINE STOCK EXCHANGE: COMMON SHARES

12. Indicate by check mark whether the registrant:

    (a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports)

    Yes [**x**] No [ ]

    (b) has been subject to such filing requirements for the past ninety (90) days.

    Yes [**x**] No [ ]

PART I - FINANCIAL INFORMATION

ITEM 1. FINANCIAL STATEMENTS.

The unaudited condensed consolidated interim financial Statements of **Axelum Resources Corp. and Subsidiaries** (collectively, the "Group") as of and for the period ended September 30, 2025 and the comparative period in 2024 is attached to this SEC 17-Q report, comprising of the following:

1.1 Consolidated Statements of Financial Position as of September 30, 2025 and December 31, 2024
1.2 Consolidated Statements of Income for the nine-month period ended September 30, 2025 and 2024
1.3 Consolidated Statements of Cash Flows for the nine-month period ended September 30, 2025 and 2024
1.4 Consolidated Statements of Changes in Shareholders' Equity for the nine-month period ended September 30, 2025 and 2024
1.5 Selected Notes to Consolidated Financial Statements for the nine-month period ended September 30, 2025 and 2024

The unaudited condensed consolidated interim financial statements and other parts of the entire SEC 17Q report as of September 30, 2025 make reference to certain financial information and disclosures in the December 31, 2024 annual audited consolidated financial statements. This SEC17Q report should be read in conjunction with the Group's annual audited consolidated financial statements as of and for the year ended December 31, 2024. The audited consolidated financial report of Axelum Resources Corp. and Subsidiaries as of December 31, 2024 is available at the Company's website www.axelum.ph.

ITEM 2. MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS.

FINANCIAL CONDITION – September 30, 2025 vs December 31, 2024

The Group had consolidated total assets of P13,245 million and P12,367 million as of September 30, 2025 and December 31, 2025, respectively.

<u>Assets</u>

Current Assets

- Total consolidated current assets amounted to P7,081 million representing 53% of total consolidated assets and P6,167 million representing 50% of total consolidated assets as of September 30, 2025 and December 31, 2024, respectively.

- Cash and cash equivalents amounted to P2,225 million and P2,336 million as of September 30, 2025 and December 31, 2024, respectively. AXLM invests the proceeds from its IPO, as well as the proceeds from subscription of redeemable preferred shares, in interest-bearing time deposits with banks, with original maturities not exceeding three months and with interest rates ranging from 1.13% to 6.00% in 2025 and 3.59% to 6.10% in 2024 and are carried at cost which approximates fair value.

- Cash flows provided by operating activities for the nine-month period ended September 30, 2025 amounted to P71 million. Net cash used in investing activities and provided by financing activities totaled P214 million and P23 million, respectively.

- Trade and other receivables increased to P2,146 million which are mainly from customers and other non-trade receivables and represent about 30% of the total consolidated current assets. The increase P604 million or 39% was mainly due to increase in credit sales and claims receivable from the Parent's insurance provider.

  Trade receivables are generally on a 30–60-day term.

  Other receivables consist mainly of claims receivables from insurance companies, excise taxes and other receivables from third parties not directly related to the revenue-generating activities of the Parent Company. On October 26, 2024, a fire damaged one of the Parent Company's warehouses, including the equipment and inventories stored within the following day, the Parent Company notified its provider(s) and subsequently filed a claim. The recognition of these receivables reflects management's assessment of probable recovery based on the terms of relevant agreements and available information as of December 31, 2024. In 2025, the Parent Company received a total of P124.1 million as advance payment from insurer while the claims process is still ongoing.

  80% of the total trade and other receivables are current.

- Inventories are stated at cost which approximates its net realizable value as of the reporting dates. Finished goods represent 73% of the total inventories as of September 30, 2025.

- Prepaid expenses and other current assets comprise 5% of total consolidated current assets and mainly represent the Group's net current input VAT, advances to suppliers and other prepayments.

- Input VAT which pertains to taxes paid on purchases of goods and services amounted to P316 and P382 million as of September 30, 2025 and December 31, 2024, respectively, of which P181 million is expected to be realized after more than 1 year and is classified under "Other Noncurrent Assets" in the statements of financial position.

- Net input VAT - current represents 39% and 53% of the prepaid expenses and other current assets account, as of September 30, 2025 and December 31, 2024 respectively, while input vat - noncurrent represents 61% of other noncurrent assets account as of September 30, 2025 and December 31, 2024.

Non-Current Assets

- Noncurrent assets comprise of 47% (P6,164 million) and 50% (P6,200 million) of the Group's total consolidated assets as of September 30, 2025 and December 31, 2024, respectively.

- Property, plant and equipment include buildings and site improvements, plant machinery and equipment, as among others. It accounts for 67% of the total consolidated noncurrent assets as of September 30, 2025 and December 31, 2024, respectively.

- Capital expenditures aggregated almost P214 million for the nine-month period ended September 30, 2025 and P180 million for the year ended December 31, 2024, respectively, composed of various projects such as plant's capacity expansion projects and rehabilitation of various equipment.

- Goodwill and other intangible assets represent the difference between the total fair value of identifiable assets purchased and the total consideration paid by AXLM in 2016.

Liabilities

- Total consolidated liabilities amounted to P2,023 and P1,695 million as of September 30, 2025 and December 31, 2024, respectively.

- Loans payable representing 55% (1,103 million) and 51% (P861 million) of the total consolidated liabilities as of September 30, 2025 and December 31, 2024, respectively, pertain to short-term borrowings, particularly packing credit loans, availed by the Group from various banks. In 2025, the Group availed bank loans amounting to P3,541 million and paid P3,298 million as partial payment for outstanding loans.

- Accounts payable and accrued expenses represent 37% (750 million) and 44% (P739 million) as of September 30, 2025 and December 31, 2024, respectively.

Equity

- Total consolidated equity amounted to P11,222 million and P10,672 million as of September 30, 2025 and December 31, 2024.

- AXLM is a public company under Section 17.2 of the Securities Regulation Code (SRC) and its shares of stock were officially listed for trading in the PSE on October 7, 2019.

- The Parent Company's authorized capital stock amounting to P5 billion is divided into 4.8 billion common shares with a par value of P1.00 per share and P200 million redeemable preferred shares with a par value of P1.00 per share.

- On February 27, 2025, the Company's BOD approved the amendment of the rate in its dividend policy from 15% to 30%. The Company's dividend policy now states: "The Company hereby adopts a dividend policy of distributing up to 30% of the reported net income of the immediately preceding fiscal year, payable primarily in cash within 30 days from the declaration date, subject to the financial condition, operational requirements, and future expansion plans and programs of the Company. The Company's Board of Directors (BOD), in its discretion, may also decide to declare dividends to be payable in property or shares instead of in cash."

- On April 22, 2025, the Parent Company's BOD has declared a total cash dividend of P206 million or P0.0515 per share out of the available unrestricted earnings of the Parent Company as of December 31, 2024, payable on or before May 21, 2025 to stockholders of record as of May 8, 2025.

  The 200,000,000 RPS were also entitled to the cash dividend at the same rate as the Common Shares.

- Treasury Shares totaled 201 million or a total cost of P584 million as of September 30, 2025 and December 31, 2024.

- Considering only interest-bearing liabilities, the Group's net gearing ratio and net interest-bearing debt-to-EBITDA stood at 0.10x and 0.86*, respectively, as of September 30, 2025 and 0.90x and 0.86x, respectively, as of December 31, 2024.
  **annualized*

Key Performance Indicators

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Current ratio	**3.67**	3.79
Debt-to-equity ratio	**0.18**	0.16
Asset-to-equity ratio	**1.18**	1.16

Notes:

Current ratio	=	*Current Assets / Current Liabilities*
Debt-to-equity ratio	=	*Total Liabilities / Total Equity*
Asset-to-equity ratio	=	*Total Assets / Total Equity*

RESULTS OF OPERATIONS

The Group's consolidated operating results for the nine-month period ended September 30, 2025 and 2024 in absolute terms and expressed as a percentage of total sales are compared below:

	For the Nine-month Period Ended September 30			
	2025 (Unaudited)	2024 (Unaudited)	Amount of change	% Change
	(All amounts in Php thousands, except percentages)			
Sales	**P7,570,048**	P5,118,786	P2,451,262	48%
Cost of Sales	**5,876,824**	3,868,460	2,008,364	52%
Gross Profit	**1,693,224**	1,250,326	442,898	35%
Selling Expenses	**532,928**	552,812	(19,884)	(4%)
General and Administrative Expenses	**418,082**	354,032	64,050	18%
Income from Operations	**742,214**	343,482	398,732	116%
Interest Income	**52,072**	59,047	(6,975)	(12%)
Interest Expense and Other Finance Charges	**(77,817)**	(59,179)	(18,638)	31%
Other Income - net	**2,234**	37,075	(34,841)	(94%)
Income before Income Taxes	**718,703**	380,425	338,278	89%
Income Tax Expense	**(82,450)**	(41,880)	(40,570)	97%
Net Income	**P636,253**	P338,545	P297,708	88%
EBITDA	**P966,483**	P603,772	P362,711	23%
Margins				
Gross Profit Margin	**22%**	24%		
EBITDA Margin	**13%**	12%		
Net Income Margin	**8%**	7%		
Other Key Financial Ratios				
Return on Equity	**0.06**	0.03		
Return on Total Assets	**0.05**	0.03		

Notes:

Gross Profit Margin	=	*Gross Profit / Sales*
EBITDA Margin	=	*EBITDA / Sales*
Net Income Margin	=	*Net Income / Sales*
Return on Equity	=	*Net Income / Total Equity*
Return on Total Assets	=	*Net Income / Total Assets*

Sales

- The Group generated sales of P7,570 million for the nine-month ended September 30, 2025, up by 48% as compared to P5,118 million for the same period in 2024.

- Growth across major product categories this quarter is driven by both selling prices and volume. Desiccated coconut sales and RBD oil sales grew more than doubled compared to previous year, while coconut cream and reduced fat coconut had a double digit growth with 78% and 85% growth this period, respectively, as compared to same period last year.

- Coconut water grew 8% primarily due to higher volumes this period as compared to last year of the same period.

- All markets have registered higher sales this period as compared to same period in previous year, particularly the group's major markets such as US with 43% growth, Australia with 75% growth and Philippines with 58% growth due to higher volume orders and selling prices.

Cost of Sales

- Cost of sales for the nine-month period ended September 30, 2025 and 2024 closed at P5,877 million and P3,868 million, respectively, or 52% increase from the previous year primarily due to higher nut prices this period as compared to last year of same period.

- Coconut prices per Metric Ton (MT) increased by 86% from a range of P8,000 to P12,000 per MT for the nine-month period in 2024 to a range of P16,000 to P18,000 per MT for the same period in 2025.

- Cost of sales for the nine-month period in 2025 was closed at 78% of gross sales as compared to 76% on same period in 2024.

Gross Profit

- Due to above, the Group's gross profit was up by 35% as compared to same period in 2024 resulting to a gross margin of 22% in 2025 as compared to 24% in 2024.

Selling Expenses

- Selling expenses amounted P533 million and P553 million which translates to 7% and 11% of sales for the nine-month period ended September 30, 2025 and 2024, respectively.

- Warehousing, storage and pallet fees, particularly in the US, also increased by P3 million or 39% this period as compared to same period last year due to increased selling activities.

General and Administrative Expenses

- General and administrative expenses aggregated P418 million and P354 million for the nine-month period ended September 30, 2025 and 2024, respectively, which translates to a 6% and 7% of sales, respectively, and increased by 18%.

- Salaries, wages and employee benefits amounted to P218 million and P180 million for the nine-month period ended September 30, 2025 and 2024, respectively. The increase is due to salaries paid to additional management personnel employed in the US subsidiary as part of expanding its sales, and reinforcing R&D and Q&A teams.

Interest Income

- Interest income represents interest earned from the short-term deposits and investment in bonds with interest rates higher in 2025 as compared in 2024.

- Interest rates from short-term time deposits range from 1.13% to 6.00% in 2025 which is lower than interest rates in 2024 which range from 3.59% to 6.10%.

- Interest earned for the nine-month period in 2025 amounted to P52 million as compared to P59 million for the same period in 2024.

Interest Expense and Other Finance Charges

- Interest expense and other financing charges mainly represent interest incurred from the Parent Company's short-term borrowings (packing credit loans). Interest rates ranges from 4.25%-6.50% and 5%-6.10% in 2025 and 2024, respectively.

Other Income - net

- Other income represents rent income, net foreign exchange gain and other items recovered and saved by the Company in the course of its operations.

- Forex rate closed at P55.37 in 2023 then went up to P56.99 as of September 30, 2024 that resulted to a foreign exchange gain of P17 million for Q3 2024. Forex rate closed at P57.85 in 2024 but averaged P57.21 only during the period resulting to a foreign exchange loss of P3 million for the nine-month period in 2025.

Income Tax Expense

- Income tax expense amounted to P82 million and P42 million for the nine-month period ended September 30, 2025 and 2024, respectively.

Net Income

- As a result of the foregoing, net income amounted to P636 million and P339 million for the nine-month period ended September 30, 2025 and 2024, respectively.

PART II - OTHER INFORMATION

Other major information about the Group is disclosed in the appropriate notes in the previously filed Audited Consolidated Financial Statements for December 31, 2024. There is no other information not previously reported in SEC Form 17-C that needs to be reported in this section.

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

Issuer:
AXELUM RESOURCES CORP.

By:

(Sgd.)
MARIA THERESA Z. PAGUIRIGAN
Vice President-Chief Financial Officer and Treasurer

Date: November 11, 2025

COVER SHEET
for
AUDITED FINANCIAL STATEMENTS

SEC Registration Number

C	S	2	0	1	0	1	3	2	8	2

COMPANY NAME

AXELUM RESOURCES CORP. AND SUBSIDIARIES

PRINCIPAL OFFICE (No. / Street / Barangay / City / Town / Province)

ICS Building Tiano-Montalvan Streets, Cagayan de Oro City

Form Type	Department requiring the report	Secondary License Type, If Applicable
AAFS		

COMPANY INFORMATION

Company's email Address	Company's Telephone Number/s	Mobile Number
axlmcompliance@axelum.com.ph	(02) 8851 -0731	+639053125732

No. of Stockholders	Annual Meeting (Month / Day)	Fiscal Year (Month / Day)
31	2nd MONDAY OF MAY	December 31

CONTACT PERSON INFORMATION

The designated contact person ***MUST*** be an Officer of the Corporation

Name of Contact Person	Email Address	Telephone Number/s	Mobile Number
Novemay V. Nanlabes	novemay.nanlabes@axelum.com.ph	(02) 8851 - 0731	+639053125732

CONTACT PERSON's ADDRESS

1052 EDSA Magallanes Village, Makati City

Note 1: In case of death, resignation or cessation of office of the officer designated as contact person, such incident shall be reported to the Commission within thirty (30) calendar days from the occurrence thereof with information and complete contact details of the new contact person designated.

2: All Boxes must be properly and completely filled-up. Failure to do so shall cause the delay in updating the corporation's records with the Commission and/or non-receipt of Notice of Deficiencies. Further, non-receipt of Notice of Deficiencies shall not excuse the corporation from liability for its deficiencies.

AXELUM RESOURCES CORP.
AND SUBSIDIARIES

Unaudited Condensed Consolidated Interim Financial Statements
As of September 30, 2025 and December 31, 2024 and
For the Nine-Month Period Ended September 30, 2025 and 2024

AXELUM RESOURCES CORP. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

(In Thousands)

	Note	**September 30, 2025 (Unaudited)**	December 31, 2024 (Audited)
ASSETS			
Current Assets			
Cash and cash equivalents	*5, 21, 22*	**P2,224,875**	P2,336,093
Trade and other receivables - net	*6, 21, 22*	**2,145,792**	1,542,210
Inventories	*7*	**2,362,100**	1,909,987
Prepaid expenses and other current assets	*8*	**347,948**	378,374
Total Current Assets		**7,080,715**	6,166,664
Noncurrent Assets			
Property, plant and equipment - net	*10*	**4,118,065**	4,124,795
Goodwill and other intangible assets	*11*	**1,732,605**	1,722,824
Deferred tax assets – net		**18,011**	57,905
Other noncurrent assets	*9, 21, 22*	**295,164**	294,945
Total Noncurrent Assets		**6,163,845**	6,200,469
		P13,244,560	P12,367,133
LIABILITIES AND EQUITY			
Current Liabilities			
Loans payable - current portion	*12, 21, 22*	**P1,099,854**	P857,325
Accounts payable and accrued expenses	*13, 21, 22*	**750,178**	738,547
Income tax payable		**76,968**	17,761
Lease Liability - current portion		**3,277**	13,782
Total Current Liabilities		**1,930,277**	1,627,415
Noncurrent Liabilities			
Loans payable - net of current portion	*12, 21, 22*	**3,201**	3,181
Lease liability - net of current portion		**56,523**	56,523
Retirement benefits obligation		**31,933**	7,371
Other noncurrent liability	*21, 22*	**1,000**	1,000
Total Noncurrent Liabilities		**92,657**	68,075
Total Liabilities		**2,022,934**	1,695,490
Equity	*15*		
Common stock		**4,000,000**	4,000,000
Preferred stock		**200,000**	200,000
Additional paid-in capital		**3,236,825**	3,236,825
Treasury stock		**(583,731)**	(583,731)
Equity reserves		**333,506**	213,858
Retained earnings		**4,035,026**	3,604,691
Total Equity		**11,221,626**	10,671,643
		P13,244,560	P12,367,133

See Notes to the Consolidated Financial Statements.

AXELUM RESOURCES CORP. AND SUBSIDIARIES
UNAUDITED CONDENSED CONSOLIDATED INTERIM STATEMENTS OF COMPREHENSIVE INCOME
For The Periods Ended September 30, 2025 and 2024
(In Thousands)

	Note	For the Nine-Month Period Ended September 30		For the Three-Month Period Ended September 30	
		2025 Unaudited	2024 Unaudited	**2025 Unaudited**	**2024 Unaudited**
SALES - Net	*6*	**P7,570,048**	P5,118,786	**P3,063,887**	P1,901,142
COST OF SALES	*16*	**5,876,824**	3,868,460	**2,331,172**	1,385,618
GROSS PROFIT		**1,693,224**	1,250,326	**732,715**	515,524
SELLING EXPENSES	*17*	**532,928**	552,812	**150,694**	205,106
GENERAL AND ADMINISTRATIVE EXPENSES	*18*	**418,082**	354,032	**138,033**	125,687
INCOME FROM OPERATIONS		**742,214**	343,482	**443,988**	184,731
INTEREST INCOME	*5, 9*	**52,072**	59,047	**14,390**	21,108
INTEREST EXPENSE AND OTHER FINANCING CHARGES	*12*	**(77,817)**	(59,179)	**(25,533)**	(21,504)
OTHER INCOME - Net	*19*	**2,234**	37,075	**27,383**	(42,213)
INCOME BEFORE INCOME TAXES		**718,703**	380,425	**460,228**	142,122
INCOME TAX EXPENSE – Net	*14*	**(82,450)**	(41,880)	**(44,433)**	(11,734)
NET INCOME	*23*	**636,253**	338,545	**415,795**	130,388
OTHER COMPREHENSIVE INCOME (LOSS)					
Item that may be reclassified to profit or loss					
Gain (loss) on exchange differences on translation of foreign operations		**159,531**	45,320	**55,646**	(54,600)
Income tax benefit (expense)		**(39,883)**	(11,330)	**(13,912)**	13,650
		119,648	33,990	**41,734**	(40,950)
TOTAL COMPREHENSIVE INCOME		**P755,901**	P372,535	**P457,529**	P89,438
Basic and Diluted Earnings Per Common Share	*23*	**P0.17**	P0.09	**P0.11**	P0.04

See Selected Notes to Unaudited Condensed Consolidated Interim Financial Statements.

AXELUM RESOURCES CORP. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
(In Thousands)

Period Ended September 30

		Equity Attributable to Equity Holders of the Parent Company								
						Equity Reserves				
	Note	**Common Stock**	**Preferred Stock**	**Additional Paid-in Capital**	**Treasury Stock**	**Translation Reserve**	**Reserve for Retirement Plan**	**Total Equity Reserve**	**Retained Earnings**	**Total Equity**
As at January 1, 2025		**P4,000,000**	**P200,000**	**P3,236,825**	**(P583,731)**	**P153,591**	**P60,267**	**P213,858**	**P3,604,691**	**P10,671,643**
Net income		**-**	**-**	**-**	**-**	**-**	**-**	**-**	**636,253**	**636,253**
Other comprehensive income:	*14*									
Gain on exchange differences on translation of foreign operations - net of tax		**-**	**-**	**-**	**-**	**119,648**	**-**	**119,648**	**-**	**119,648**
Total comprehensive income		**-**	**-**	**-**	**-**	**119,648**	**-**	**119,648**	**636,253**	**755,901**
Cash Dividends		**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(205,918)**	**(205,918)**
As at September 30, 2025 (Unaudited)		**P4,000,000**	**P200,000**	**P3,236,825**	**(P583,731)**	**P273,239**	**P60,267**	**P333,506**	**P4,035,026**	**P11,221,626**
As at January 1, 2024		P4,000,000	P200,000	P3,236,825	(P583,731)	P126,942	P57,602	P184,544	P2,916,333	P9,953,971
Net income		-	-	-	-	-	-	-	338,545	338,545
Other comprehensive loss:	*14*									
Gain on exchange differences on translation of foreign operations - net of tax		-	-	-	-	33,990	-	33,990	-	33,990
Total comprehensive income		-	-	-	-	33,990	-	33,990	338,545	372,535
As at September 30, 2024 (Unaudited)		P4,000,000	P200,000	P3,236,825	(P583,731)	P160,932	P57,602	P218,534	P3,254,878	P10,326,506

See Notes to the Unaudited Condensed Consolidated Interim Financial Statements.

AXELUM RESOURCES CORP. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CASH FLOWS

(In Thousands)

		Nine Months Ended September 30	
	Note	**2025**	2024
CASH FLOWS FROM OPERATING ACTIVITIES			
Income before income tax		**P718,703**	P380,425
Adjustments for:			
Depreciation and amortization	*10, 16, 18*	**222,035**	223,215
Interest expense and other financing charges	*12*	**77,817**	59,179
Unrealized foreign exchange losses (gains) -net		**(8,756)**	(17,103)
Retirement benefits expense		**24,562**	25,465
Interest income	*5, 9*	**(52,072)**	(59,047)
Loss on inventory write-down		**-**	-
Operating income before working capital changes		**982,289**	612,134
Changes in operating assets and liabilities:			
(Increase) Decrease in:			
Trade and other receivables		**(510,376)**	(444,760)
Inventories		**(452,113)**	(177,799)
Prepaid expenses and other current assets		**30,426**	39,084
Increase (Decrease) in:			
Accounts payable and accrued expenses		**145,848**	228,581
Other current liabilities		**-**	(2,370)
Cash provided by from operations		**196,074**	193,470
Interest received		**(41,134)**	9,668
Interest paid		**(73,813)**	(49,507)
Contribution to retirement plan		**-**	(2,500)
Income tax paid		**(10,443)**	(51,470)
Net cash flows provided by operating activities		**70,684**	161,061
CASH FLOWS FROM INVESTING ACTIVITIES			
Additions to property, plant and equipment	*10*	**(213,883)**	(103,253)
Increase in other noncurrent assets		**(219)**	(676)
Net cash flows used in investing activities		**(214,102)**	(103,929)
CASH FLOWS FROM FINANCING ACTIVITIES			
Proceeds from availment of loans	*12*	**3,540,510**	2,432,743
Payment of loans payable	*12*	**(3,297,961)**	(2,409,000)
Dividends Paid		**(205,918)**	-
Payment of Finance Lease Liabilities		**(10,505)**	-
Interest paid		**(2,682)**	(10,333)
Net cash flows provided by financing activities		**23,444**	13,410

	Note	2025	2024
EFFECT OF FOREIGN EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS		**P8,756**	P3,867
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS		**(111,218)**	74,409
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR	*5*	**2,336,093**	1,951,014
CASH AND CASH EQUIVALENTS AT PERIOD END	*5*	**P2,224,875**	P2,025,423

See Notes to the Unaudited Condensed Consolidated Interim Financial Statements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

(Amounts in Thousands, Except Per Share Data, Number of Shares and Exchange Rates)

1. Reporting Entity

Axelum Resources Corp. (the "Parent Company") was incorporated and registered with the Philippines Securities and Exchange Commission (SEC) on August 19, 2010. The Parent Company was established primarily to enter into direct manufacturing and or toll manufacturing of coconut water and other coconut products for domestic and international market.

The Parent Company started its commercial operations in March 2011.

The Parent Company has corporate life of 50 years pursuant to its articles of incorporation. However, under the Revised Corporation Code of the Philippines which took effect on February 23, 2019, the Parent Company shall have a perpetual corporate life.

The Parent Company is a public company under Section 17.2 of the Securities Regulation Code (SRC) and its shares of stock were officially listed for trading in the Philippine Stock Exchange through an initial public offering on October 7, 2019.

As at September 30, 2025 and December 31, 2024, public float stood at 23.59%, respectively. Shares are held by 31 stockholders as at September 30, 2025 and December 31, 2024.

The accompanying consolidated financial statements comprise the financial statements of the Parent Company and its Subsidiaries collectively referred to as ("the Group").

The Parent Company's principal place of business is located at ICS Building, Tiano-Montalvan Streets, Cagayan de Oro City.

2. Basis of Preparation

Presentation of Condensed Consolidated Financial Statements

The Group prepared its unaudited condensed consolidated interim financial statements following the new presentation rules under Philippine Accounting Standard (PAS) No. 34, *Interim Financial Reporting*. The unaudited condensed consolidated interim financial statements of the Group have been prepared in compliance with Philippine Financial Reporting Standards (PFRS). Accordingly, the unaudited condensed consolidated interim financial statements do not include all the information and disclosures required in the annual audited financial statements and should be read in conjunction with the Group's annual audited financial statements as of and for the year ended December 31, 2024, which have been prepared in accordance with PFRS.

The principal accounting policies and methods adopted in preparing the unaudited condensed consolidated interim financial statements of the Group are the same as those followed in the most recent annual audited consolidated financial statements, except for the changes in accounting policies as explained below.

Functional and Presentation Currency

The unaudited condensed consolidated interim financial statements are presented in Philippine peso, which is the functional currency of the Parent Company. All financial information is rounded to the nearest thousands, except when otherwise indicated.

Basis of Consolidation

The unaudited consolidated interim financial statements include the financial statements of the Parent Company and its subsidiaries. The major subsidiaries include the following:

	Percentage of Ownership		
	September 30, 2025	December 31, 2024	**Country of Incorporation**
Always Progressive Holdings Pte. Ltd. (APH1) and its Subsidiary, Red V Foods Corp. (RVF)	**100**	100	**Singapore**
Apo Peak Holdings Pte. Ltd. (APH2) and its Subsidiary, Fiesta Ingredients Australia Pty. Ltd.	**100**	100	**Singapore**

A subsidiary is an entity controlled by the Group. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The Group reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control.

When the Group has less than majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including the contractual arrangement with the other vote holders of the investee, rights arising from other contractual arrangements and the Group's voting rights and potential voting rights.

The financial statements of the subsidiaries are included in the consolidated financial statements from the date when the Group obtains control, and continue to be consolidated until the date when such control ceases.

The financial statements of the subsidiaries are prepared for the same reporting period as the Parent Company, using uniform accounting policies for like transactions and other events in similar circumstances. Intergroup balances and transactions, including intergroup unrealized profits and losses, are eliminated in preparing the consolidated financial statements.

The Audit Committee endorsed to the Board of Directors the release of the accompanying unaudited condensed consolidated interim financial statements of Axelum Resources Corp. and Subsidiaries and the same was approved by the Board of Directors on November 11, 2025.

3. Material Accounting Policies

The unaudited condensed consolidated interim financial statements have been prepared in accordance with Philippine Accounting Standard (PAS) 34, Interim Financial Reporting. These condensed consolidated interim financial statements do not include all of the information required for annual consolidated financial statements, and should be read in conjunction with the annual consolidated financial statements of the Group as of and for the year ended December 31, 2024, which have been prepared in accordance with Philippine Financial Reporting Standards (PFRS). PFRS are adopted by the Financial Reporting Standards Council from the pronouncements issued by the International Accounting Standards Board, and approved by the Philippine Board of Accountancy.

These unaudited condensed consolidated interim financial statements are presented in Philippine pesos, the Group's functional and presentation currency.

The Group's accounting policies adopted in the preparation of these condensed consolidated interim financial statements are consistent with those applied in the preparation of the Group's annual consolidated financial statements as of and for the year ended December 31, 2024 and the corresponding interim reporting period, except for the adoption of the new accounting pronouncements starting January 1, 2025.

4. Use of Judgments, Estimates and Assumptions

The preparation of the Group's condensed consolidated interim financial statements in accordance with PAS 34 requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the amounts of assets, liabilities, income and expenses reported in the condensed consolidated interim financial statements. Actual results may vary from these estimates.

In preparing these condensed consolidated interim financial statements, the significant judgments made by management in applying the Group's accounting policies and key sources of estimation uncertainty were the same as those applied in the Group's last annual consolidated financial statements as of and for the year ended December 31, 2024.

5. Cash and Cash Equivalents

This account consists of:

	Note	**September 30, 2025 (Unaudited)**	December 31, 2024 (Audited)
Cash on hand		**P923**	P1,275
Cash in banks		**985,961**	587,351
Cash equivalents		**1,237,991**	1,747,467
	21, 22	**P2,224,875**	P2,336,093

Cash in banks earns interest at the respective bank deposit rates. The Group's cash in banks earned interest income amounting to P224 and P245 in September 30, 2025 and 2024, respectively.

Cash equivalents are interest-bearing time deposits with banks, with original maturities not exceeding three months and with interest rates of 1.13% to 6.00% in 2025 and 3.59% to 6.10% in 2024 and are carried at cost which approximates fair value. The Group's cash equivalents earned interest income amounting to P47,901 and P54,853 in September 30, 2025 and 2024, respectively.

6. Trade and Other Receivables

This account consists of:

	Note	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Trade		**P1,849,445**	P1,178,332
Others		**296,347**	363,878
	21, 22	**P2,145,792**	P1,542,210

Trade receivables are non-interest bearing and are generally on a 30 to 60-day term.

Others consist mainly of claims receivable from insurance companies, excise taxes and other receivables from third parties not directly related to the revenue-generating activities of the Parent Company. On October 26, 2024, a fire damaged one of the Parent Company's warehouses, including the equipment and inventories stored within. The following day, the Parent Company notified its provider(s) and subsequently filed a claim. The recognition of these receivables reflects management's assessment of probable recovery based on the terms of relevant agreements and available information as of December 31, 2024. In 2025, the Parent Company received a total of P124.1 million as advance payment from insurer while the claims process is still ongoing.

The Company is subject to the excise tax payments due on every removal of products from the place of production. After the payment of the tax, the Company at its option may file a claim for excise tax credit/refund or may avail of a claim for product replenishment in accordance with the relevant sections of the National Internal Revenue Code and other relevant implementing rules and regulation. As at September 30, 2025 and December 31, 2024, the Company has receivables from government arising from excess payments of excise tax that are included under other receivables, amounting to P62,018.

Other receivables also include advances to employees for medical insurance which are collected through salary deductions, and other advances for official business use.

No receivables are directly written-off as at September 30, 2025 and December 31, 2024.

Certain receivables were assigned with recourse to secure the bank loans amounting to P438,473 and P351,600 as at September 30, 2025 and December 31, 2024, respectively (Note 12).

The Group recognized sales from the following geographical locations:

	September 30, 2025 (Unaudited)	September 30, 2024 (Unaudited)
Philippines	**P4,473,295**	P3,144,634
USA	**2,616,917**	1,700,437
Australia	**479,836**	273,715
	P7,570,048	P5,118,786

7. Inventories

This account consists of:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
At cost:		
Finished goods	**P1,732,608**	P1,230,077
Packing materials and supplies	**466,100**	421,857
Inventories in-transit	**88,955**	183,988
Raw materials	**72,723**	73,747
By-product	**1,714**	318
	P2,362,100	P1,909,987

Inventories charged to cost of sales amounted to P5,375,539 and P3,411,219 for the nine-month period ended September 30, 2025 and 2024, respectively (Note 16).

8. Prepaid Expenses and Other Current Assets

This account consists of:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Prepaid expenses	**P145,205**	P88,117
Net input VAT - current	**134,529**	201,433
Advances to suppliers	**68,214**	88,824
	P347,948	P378,374

Input VAT, which is net of related output VAT, represents taxes paid on purchases of goods and services. Input VAT that are expected to be realized after more than one (1) year was presented under “Other noncurrent assets” in the statements of financial position (Note 9).

Prepaid expenses consist of dues and subscriptions, insurance, rent, taxes and other prepayments.

Advances to suppliers pertain to advances for purchased tools, spare parts and packaging materials.

9. Other Noncurrent Assets

This account consists of:

	Note	**September 30, 2025 (Unaudited)**	December 31, 2024 (Audited)
Input VAT- noncurrent		**P181,000**	P181,000
Investment in bonds		**115,459**	115,459
Others		**10,705**	10,486
		307,164	306,945
Less: provision for impairment of input VAT		**12,000**	12,000
	21, 22	**P295,164**	P294,945

Investment in bonds mainly represents United States dollar denominated Republic of the Philippine (ROP) bonds with annual interest rates ranging from 5% to 7.75%, with various maturities from 2031 to 2037 for 2025 and 2024.

The movements in investment in bonds are as follows:

	Note	**September 30, 2025 (Unaudited)**	December 31, 2024 (Audited)
Balance at beginning of year		**P115,459**	P110,738
Foreign exchange gains on revaluation		**-**	4,721
	21, 22	**P115,459**	P115,459

Interest income on investment in bonds, included as part of “Interest income” account in the consolidated statements of comprehensive income amounted to P3,947 and P3,949 in September 30, 2025 and 2024, respectively.

10. Property, Plant and Equipment - net

Property, plant and equipment consist of:

	Land	Site Improvements	Buildings	Machinery	Delivery and Transportation Equipment	Office Furniture and Equipment	Tools and Water System	Construction in Progress	ROU Asset	Total
Cost										
January 1, 2024	P47,618	P154,381	P1,108,348	P3,591,055	P180,375	P186,104	P81,106	P544,433	P -	P5,893,420
Additions	-	-	545	68,544	16,979	5,981	16,104	72,122	133,294	313,569
Reclassifications	-	11,547	90,986	240,821	678	4,926	895	(349,853)	-	-
Disposals	-	-	(8,925)	(139)	(60)	(219)	-	-	-	(9,343)
Cumulative translation adjustments	2,129	2,281	8,835	13,752	17	396	-	-	-	27,410
December 31, 2024 (Audited)	49,747	168,209	1,199,789	3,914,033	197,989	197,188	98,105	266,702	133,294	6,225,056
Additions and reclassifications	-	15,607	2,211	123,988	22,534	12,513	17,376	19,654	-	213,883
Disposals	-	-	-	-	(3,963)	(59)	-	-	-	(4,022)
Cumulative translation adjustments	302	351	1,221	2,190	-	89	-	-	-	4,153
September 30, 2025 (Unaudited)	**50,049**	**184,167**	**1,203,221**	**4,040,211**	**216,560**	**209,731**	**115,481**	**286,356**	**133,294**	**6,439,070**
Accumulated Depreciation and Amortization										
January 1, 2024	-	21,934	184,837	1,251,564	128,919	141,399	52,532	-	-	1,781,185
Depreciation and amortization	-	3,497	27,103	192,186	23,049	30,288	23,637	-	4,887	304,647
Disposals	-	-	(1,157)	(139)	(60)	(168)	-	-	-	(1,524)
Cumulative translation adjustments	-	-	18,679	(7,502)	-	4,776	-	-	-	15,953
December 31, 2024 (Audited)	-	25,431	229,462	1,436,109	151,908	176,295	76,169	-	4,887	2,100,261
Depreciation and amortization	-	4,377	19,150	149,394	15,990	13,604	15,521	-	3,999	222,035
Disposals	-	-	-	-	(3,236)	(59)	-	-	-	(3,295)
Cumulative translation adjustments	-	140	558	1,366	-	(60)	-	-	-	2,004
September 30, 2025 (Unaudited)	**-**	**29,948**	**249,170**	**1,586,869**	**164,662**	**189,780**	**91,690**	**-**	**8,886**	**2,321,005**
Carrying Amount										
December 31, 2024 (Audited)	P49,747	P142,778	P970,327	P2,477,924	P46,081	P20,893	P21,936	P266,702	P128,407	P4,124,795
September 30, 2025 (Unaudited)	**P50,049**	**P154,219**	**P954,051**	**P2,453,342**	**P51,898**	**P19,951**	**P23,791**	**P286,356**	**P124,408**	**P4,118,065**

The Parent Company recognized ROU asset for the lease of machinery with a lease period of five years. Upon the completion of the lease term and full settlement of the lease liability, ownership of the machinery will transfer to the Parent Company.

The carrying amount of machinery amounted to P124,408 and P128,407 as at September 30, 2025 and December 31, 2024, respectively.

Construction in progress are ongoing projects for site improvements, machinery, and tools and water system.

Depreciation and amortization are distributed as follows:

	Note	**September 30, 2025 (Unaudited)**	September 30, 2024 (Unaudited)
Cost of sales	*16*	**P197,408**	P201,838
General and administrative expenses	*18*	**24,627**	21,377
		P222,035	P223,215

No impairment loss was required to be recognized on September 30, 2025 and December 31, 2024 based on management's assessment of impairment indicators.

11. Goodwill and Other Intangible Assets

This account consists of:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Goodwill	**P1,285,261**	P1,275,480
Other intangible assets	**447,344**	447,344
	P1,732,605	P1,722,824

12. Borrowings

This account consists of:

	Note	**September 30, 2025 (Unaudited)**	December 31, 2024 (Audited)
Current:			
a) Interest from 4.25% to 6.50% for the nine-month ended September 30, 2025 and 5.00% to 6.10% for the year ended December 31, 2024		**P584,800**	P351,600
b) Interest based on prime rate minus 0.75% in September 30, 2025 and 2024		**515,054**	505,725
		1,099,854	857,325
Noncurrent:			
c) Interest at 2.5% payable every quarter		**3,201**	3,181
	21, 22	**P1,103,055**	P860,506

a) Loans availed by the Parent Company from various banks to finance its working capital requirements. These loans bear interest rates ranging 4.25% to 6.50% and 5.00% to 6.10% as at September 30, 2025 and December 31, 2024, respectively. The loans are generally on a one to six-month term. Certain receivables were assigned with recourse to secure the bank loans (Note 6).

b) RVF's revolving line of credit with a maximum borrowing limit of P523,800 ($9 million) and P520,650 ($9 million) on September 30, 2025 and December 31, 2024. Interest is payable monthly at a variable rate equal to the prime rate minus 0.75% in 2025 and 2024. Prime rate is equal to the greater of (a) 3.5% and (b) the U.S. prime rate as shown in The Wall Street Journal on business day. The loan is secured by all assets of RVF and is subject to a subordination agreement.

   RVF's capital expenditure line of credit has a maximum borrowing limit of P75,660 ($1,300) and P75,205 ($1,300) in September 30, 2025 and December 31,2024, respectively. Interest is payable monthly at a prime rate minus 0.75 in 2025 and 2024.

   As of September 31, 2025 and December 31, 2024, RVF has bank loans amounting to P55,930 ($961) and P49,346 ($853), respectively, with monthly interest payable at 6%.

   RVF has completed the renewal of its line of credit with the bank and extended its maturity to October 4, 2025

c) Other loans of RVF amounted to P3,201 and P3,181 as at September 30, 2025 and December 31, 2024, respectively, were obtained from third party creditors which bear an annual interest rate of 2.5% payable every quarter.

Interest expense on loans payable, included as part of "Interest expense and other financing charges" account in the consolidated statements of comprehensive income amounted to P61,319 and P51,940 on September 30, 2025 and 2024, respectively.

13. Accounts Payable and Accrued Expenses

This account consists of:

	Note	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Trade		**P263,761**	286,091
Nontrade		**3,897**	6,010
Accrued expenses:			
Salaries, wages and employee benefits		**205,989**	136,373
Marketing, promotion and advertising		**111,319**	74,955
Utilities		**21,950**	20,855
Toll		**21,387**	23,471
Freight charges		**14,349**	76,129
Others		**68,739**	50,707
Customer deposits		**25,174**	47,474
Government payables		**5,322**	8,071
Interest payable	*12*	**3,390**	2,068
Others		**4,901**	6,343
	21, 22	**P750,178**	P738,547

Trade payables are generally on a 30 to 60-day term.

Nontrade payables consist of payables for broker fees, utilities and contracted jobs.

Customer deposits represent advances made by customers on its purchases which are expected to be applied within a year.

14. Income Taxes

On March 26, 2021, Board of Investments (BOI) granted the Parent Company an Income Tax Holiday (ITH) for its agglomerated coconut milk powder product and other plant-based infused coconut milk powder products line of four years from April 2021, its actual start of commercial operations (Note 24).

On July 9, 2021, BOI granted the Parent Company an ITH of six years from July 2021 for its organic/non-organic plant-based infused coconut drinks and juices products (Note 24).

Income tax expense (benefit) amounted to P82,450 and P41,880 for the nine-month period ended September 30, 2025 and 2024, respectively.

15. Equity

a. Authorized Capital Stock

The Parent Company's authorized capital stock amounting to P5 billion is divided into 4 billion common shares with a par value of P1.00 per share and P1 billion redeemable preferred shares with a par value of P1.00 per share.

b. Common Stock

The movements in the number of issued and outstanding shares of common stock in September 30, 2025 and December 31, 2024 are as follows:

	Note	Number of Shares
Issued shares at end of period	*1*	4,000,000,000
Less: treasury shares	*15d*	201,594,500
Outstanding shares at end of period		3,798,405,500

c. Redeemable Preferred Stock

There are 200 million redeemable preferred shares (RPS) as of September 30, 2025 and December 31, 2024.

The RPS to be issued shall be voting, participating, redeemable at the option of the Parent Company, convertible at the option of the holder at a ratio of one RPS-to-one common stock, can be reissued, and shall have preference in the event of any liquidation or dissolution.

d. Treasury Stock

On September 24, 2024, the Parent Company's BOD authorized the share buyback program of the Company's common shares up to P500 million worth of common shares for a term of six (6) months commencing on September 25, 2024 until March 24, 2025.

As at September 30, 2025 and December 31, 2024, the Parent Company acquired 201,594,500 of its own common shares or a total cost of P583.7 million.

e. Retained Earnings

On February 27, 2025, the Parent Company's BOD approved the amendment of the rate in its dividend policy from 15% to 30%. The Parent Company's dividend policy now states: "The Company hereby adopts a dividend policy of distributing up to 30% of the reported net income of the immediately preceding fiscal year, payable primarily in cash within 30 days from the declaration date, subject to the financial condition, operational requirements, and future expansion plans and programs of the Company. The Company's BOD, in its discretion, may also decide to declare dividends to be payable in property or shares instead of in cash."

On April 22, 2025, the Parent Company's BOD has declared a total cash dividend of P206 million or P0.0515 per share out of the available unrestricted earnings of the Parent Company as of December 31, 2024, payable on or before May 21, 2025 to stockholders of record as of May 8, 2025.

The 200,000,000 RPS will also be entitled to the cash dividend at the same rate as the Common Shares.

16. Cost of Sales

This account consists of:

		Nine-Month Period Ended September 30 (Unaudited)	
	Note	**2025**	2024
Inventories	*7*	**P5,375,539**	P3,411,219
Depreciation and amortization	*10*	**197,408**	201,838
Salaries, wages and employee benefits		**139,263**	128,976
Freight		**78,775**	60,932
Rent		**4,018**	4,018
Retirement benefits expense		**2,062**	2,965
Others		**79,759**	58,512
		P5,876,824	P3,868,460

17. Selling Expenses

This account consists of:

	Nine-Month Period Ended September 30 (Unaudited)	
	2025	2024
Freight	**P217,875**	P216,384
Marketing, promotion and advertising	**139,256**	162,490
Brokerage	**54,943**	52,164
Rent	**44,359**	50,492
Warehouse and storage	**35,289**	32,047
Pallets and packaging	**11,205**	8,058
Insurance	**4,914**	4,742
Others	**25,087**	26,435
	P532,928	P552,812

18. General and Administrative Expenses

This account consists of:

		Nine-Month Period Ended September 30 (Unaudited)	
	Note	**2025**	2024
Salaries, wages and employee benefits		**P218,388**	P179,767
Professional fees		**31,726**	27,443
Depreciation and amortization	*10*	**24,627**	21,377
Retirement benefit expense		**22,500**	22,500
Insurance		**19,747**	15,809
Representation		**18,058**	13,495
Utilities		**17,743**	14,773
Travel and transportation		**15,141**	13,166
Rent		**8,518**	8,230
Taxes and licenses		**1,648**	1,372
Others		**39,986**	36,100
		P418,082	P354,032

Others include socials and athletics, books and periodical, office supplies, dues and subscription, memberships and certifications, donation and other miscellaneous expenses.

19. Other Income - net

This account consists of:

		Nine-Month Period Ended September 30 (Unaudited)	
	Note	**2025**	2024
Rent income		**P6,558**	P6,558
Foreign exchange gain (loss) - net	*21*	**(3,102)**	17,103
Others		**(1,222)**	13,414
		P2,234	P37,075

20. Related Party Transactions

The Parent Company and its related parties, in the normal course of business, purchase products and services from one another. Amounts owed by/owed to related parties are collectible/ to be settled in cash. An assessment is undertaken at each financial year by examining the financial position of the related party and the market in which the related party operates. There are no balances and transactions with related parties outside the Group other than key management personnel, as at September 30, 2025 and December 31, 2024 and for the nine-month period ended September 30, 2025 and 2024.

Key management compensation refers to the salary of key management amounted to P46,784 and P43,576 for the nine-month period ended September 30, 2025 and 2024, respectively.

21. Financial Risk and Capital Management Objectives and Policies

Objectives and Policies
The Group has significant exposure to the following financial risks primarily from its use of financial instruments:

- Liquidity Risk
- Credit Risk
- Foreign Currency Risk
- Interest Rate Risk

This note presents information about the exposure to each of the foregoing risks, the objectives, policies and processes for measuring and managing these risks, and for management of capital.

The main purpose of the Group's financial instruments is to fund the Group's operations and to acquire and improve its property, plant and equipment. The main risks arising from the use of financial instruments are liquidity risk, credit risk, foreign currency risk and interest rate risk. The Group's BOD reviews and monitors the policies for managing each of these risks.

Liquidity Risk. Liquidity risk pertains to the risk that the Group will encounter difficulty to meet payment obligations when they fall due under normal and stress circumstances.

The Group seeks to manage its liquidity profile to be able to finance its capital expenditures and cover its operating costs. The Group's objective is to maintain a balance between continuity of funding and flexibility through valuation of projected and actual cash flow information. Additional short-term funding is obtained from related party advances when necessary.

The table below summarizes the maturity profile of the Group's financial assets and financial liabilities based on contractual undiscounted receipts and payments used for liquidity management.

September 30, 2025 (Unaudited)	Carrying Amount	Contractual Cash Flow	1 Year or Less	More than 1 Year but Less than 5 Years	More than 5 Years
Financial Assets					
Cash and cash equivalents	**P2,224,875**	**P2,224,875**	**P2,224,875**	**P -**	**P -**
Trade and other receivables*	**2,074,007**	**2,074,007**	**2,074,007**	**-**	**-**
Other noncurrent assets**	**126,164**	**126,164**	**-**	**10,705**	**115,459**
Financial Liabilities					
Loans payable	**1,103,055**	**1,103,055**	**1,099,854**	**-**	**3,201**
Accounts payable and accrued expenses***	**719,682**	**719,682**	**719,682**	**-**	**-**
Lease Liability	**59,800**	**59,800**	**3,277**	**56,523**	**-**
Other noncurrent liability	**1,000**	**1,000**	**-**	**1,000**	**-**

** Excluding advances to employees and government receivables amounting to P9,767 and P62,018, respectively.*
*** Excluding input VAT - noncurrent amounting to P169,000.*
**** Excluding customer deposits and government payables amounting to P25,174 and P5,322 respectively.*

December 31, 2024 (Audited)	Carrying Amount	Contractual Cash Flow	1 Year or Less	More than 1 Year but Less than 5 Years	More than 5 Years
Financial Assets					
Cash and cash equivalents	P2,336,093	P2,336,093	P2,336,093	P -	P -
Trade and other receivables*	1,473,730	1,473,730	1,473,730	-	-
Other noncurrent assets**	125,945	125,945	-	10,486	115,459
Financial Liabilities					
Loans payable	860,506	860,506	857,325	-	3,181
Accounts payable and accrued expenses***	683,002	683,002	683,002	-	-
Lease liability	70,305	70,305	13,782	56,523	-
Other noncurrent liability	1,000	1,000	-	1,000	-

**Excluding advances to employees and government receivables amounting to P6,462 and P62,018, respectively.*
***Excluding input VAT - noncurrent amounting to P169,000.*
****Excluding customer deposits and government payables amounting to P47,474 and P8,071, respectively.*

Credit Risk. Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from trade and other receivables.

The Group controls this risk through monitoring procedures and regular coordination with the customers. Receivable balances are monitored on an ongoing basis with the risks of exposure to bad debts are not significant.

The carrying amount of financial assets which represents the Group's maximum exposure to credit risk without the effects of collaterals and other risk mitigation techniques is presented below:

	Note	**September 30, 2025 (Unaudited)**	December 31, 2024 (Audited)
Cash and cash equivalents*	*5*	**P2,223,952**	2,334,818
Trade and other receivables**	*6*	**2,074,007**	1,473,730
Other noncurrent assets***	*9*	**126,164**	125,945
		P4,424,123	P3,934,493

** Excluding cash on hand amounting to P923 and P1,275 as at September 30, 2025 and December 31, 2024, respectively.*
*** Excluding advances to employees amounting to P9,767 and P6,462 and receivable from government amounting to P62,018 as at September 30, 2025 and December 31, 2024, respectively.*
**** Excluding input VAT - noncurrent amounting to P169,000 as at September 30, 2025 and December 31, 2024.*

The table below presents the Group's exposure to credit risk and shows the credit quality of the financial assets by indicating whether the financial assets are subjected to 12-month ECLs or lifetime ECLs. Assets that are credit-impaired are separately presented.

September 30, 2025 (Unaudited)

	Financial Assets at Amortized Cost				
	12-month ECLs	**Lifetime ECLs not Credit Impaired**	**Lifetime ECLs Credit Impaired**	**Financial Assets at FVPL**	**Total**
Cash and cash equivalents*	**P2,223,952**	**P -**	**P -**	**P -**	**P2,223,952**
Trade receivables	**-**	**1,849,445**	**-**	**-**	**1,849,445**
Other receivables as part of "Trade and other receivables" account**	**-**	**224,562**	**-**	**-**	**224,562**
Other noncurrent assets***	**-**	**126,164**	**-**	**-**	**126,164**
	P2,223,952	**P2,200,171**	**-**	**-**	**P4,424,123**

**Excluding cash on hand amounting to P923 as at September 30, 2025.*
***Excluding advances to employees and receivable from government amounting to P9,767 and P62,018, respectively, as at September 30, 2025.*
****Excluding input VAT - noncurrent amounting to P169,000 as at September 30, 2025.*

December 31,2024 (Audited)

	Financial Assets at Amortized Cost				
	12-month ECLs	Lifetime ECLs not Credit Impaired	Lifetime ECLs Credit Impaired	Financial Assets at FVPL	Total
Cash and cash equivalents*	P2,334,818	P -	P -	P -	P2,334,818
Trade receivables	-	1,178,332	-	-	1,178,332
Other receivables as part of "Trade and other receivables" account**	-	295,398	-	-	295,398
Other noncurrent assets***	-	125,945	-	-	125,945
	P2,334,818	P1,599,675	P -	P -	P3,934,493

**Excluding cash on hand amounting to P1,275 as at December 31, 2024.*
***Excluding advances to employees and receivable from government amounting to P6,462 and P62,018, respectively, as at December 31, 2024.*
****Excluding input VAT - noncurrent amounting to P169,000 as at December 31, 2024.*

The aging of trade and other receivables is as follows:

September 30, 2025 (Unaudited)	Trade	Others*	Total
Current	**P1,488,830**	**P224,562**	**P1,713,392**
Past due:			
Less than 30 days	**201,691**	**-**	**201,691**
31 - 60 days	**96,318**	**-**	**96,318**
61 - 90 days	**45,989**	**-**	**45,989**
Over 90 days	**16,617**	**-**	**16,617**
	P1,849,445	**P224,562**	**P2,074,007**

** Excluding advances to employees amounting to P9,767 and receivable from government of P62,018.*

December 31, 2024 (Audited)	Trade	Others*	Total
Current	P781,153	P280,570	P1,061,723
Past due:			
Less than 30 days	240,071	13,128	253,199
31 - 60 days	73,154	208	73,362
61 - 90 days	38,271	569	38,840
Over 90 days	45,683	923	46,606
	P1,178,332	P295,398	P1,473,730

** Excluding advances to employees amounting to P6,462 and receivable from government of P62,018.*

The Group believes that neither past due nor impaired and unimpaired amounts that area past due by more than 30 days are still collectible based on historical payment behavior and analyses of the underlying customer credit ratings. There are no significant changes in their credit quality.

Credit Quality Per Class of Financial Assets
The credit quality of financial assets is managed by the Group using internal audit ratings. High grade cash are working cash fund in local banks belonging to the top 10 banks in the Philippines in terms of resources and profitability.

High grade cash are working cash fund in local banks belonging to the top 10 banks in the Philippines in terms of resources and profitability.

High grade accounts, other than cash, are accounts considered to be of high value. The counterparties have a very remote likelihood of default and have consistently exhibited good paying habits. High grade financial assets include cash in banks, cash equivalents and investment in bonds amounting P2,339,411 and P2,450,277 as at September 30, 2025 and December 31, 2024, respectively.

Standard grade accounts are active accounts with propensity of deteriorating to mid-range age brackets. These accounts are typically not impaired as the counterparties generally respond to credit actions and update their payments accordingly. Standard grade financial assets include trade and other receivables and other noncurrent assets amounting to P1,724,097 and P1,072,209 as at September 30, 2025 and December 31, 2024, respectively.

Substandard grade accounts are which have probability of impairment based on historical trend. These accounts show propensity to default in payments despite regular follow-up actions and extended payments terms. Substandard grade accounts include past due accounts but not impaired amounting to P360,615 and P412,007 and as at September 30, 2025 and December 31, 2024, respectively.

The Group believes that neither past due nor impaired and unimpaired amounts that area past due by more than 30 days are still collectible based on historical payment behavior and analyses of the underlying customer credit ratings. There are no significant changes in their credit quality.

Foreign Currency Risk. The Group's exposure to foreign currency risk results from significant movements in foreign exchange rates that adversely affect the foreign currency denominated transactions of the Group.

The Group closely monitors the movements in the exchange rate and makes a regular assessment of future foreign exchange movements. The Group then manages the balance of its foreign currency denominated assets and liabilities based on this assessment.

Information on the Group's foreign currency-denominated monetary assets and monetary liabilities and their Philippine peso equivalents are as follows:

September 30, 2025 (Unaudited)	SGD	AUD	USD	Peso Equivalent
Assets				
Cash and cash equivalents	**98**	**2,333**	**12,208**	**803,874**
Trade and other receivables	**-**	**2,639**	**14,428**	**940,332**
Investment in bonds	**-**	**-**	**1,984**	**115,459**
Liabilities				
Accounts payable and accrued expenses	**(193)**	**(5,070)**	**(754)**	**(245,993)**
Loans payable	**-**	**-**	**(8,905)**	**(518,255)**

December 31, 2024 (Audited)	SGD	AUD	USD	Peso Equivalent
Assets				
Cash and cash equivalents	98	532	21,788	1,283,708
Trade and other receivables	-	4,435	21,440	1,400,232
Investment in bonds	-	-	1,997	115,459
Liabilities				
Accounts payable and accrued expenses	-	(1,869)	(1,829)	(173,241)
Loans payable	-	-	(8,798)	(508,906)

The following table demonstrates the sensitivity to a reasonably possible change in foreign currency exchange rates with all other variables held constant of the Group's profit before tax due to changes in the fair value of monetary assets and monetary liabilities:

Effect on Income before Income Tax			
September 30, 2025 (Unaudited)		December 31, 2024 (Audited)	
Increase by 5%	**Decrease by 5%**	Increase by 5%	Decrease by 5%
P54,711	**(P54,711)**	P105,862	(P105,862)

The Group reported unrealized foreign exchange loss amounting to P8,756 and 17,103 for the nine-month period ended September 30, 2025 and 2024, respectively (Note 19), arising from the translation of its foreign-currency denominated financial instruments. These mainly resulted from the movements of the Philippine peso against the USD as shown in the following table:

	September 30, 2025	December 31, 2024
USD to Philippine Peso	**58.20**	57.85
AUD to Philippine Peso	**38.15**	36.08
SGD to Philippine Peso	**45.01**	42.69

Interest Rate Risk. Interest rate risk is the risk that future cash flows from a financial instrument (cash flow interest rate risk) or its fair value (fair value interest rate risk) will fluctuate because of changes in market interest rates. The Group's exposure to changes in interest rates relates primarily to its loan payable, long-term debt, lease liabilities and other noncurrent liability. Borrowings issued at fixed rates expose the Group to fair value interest rate risk. On the other hand, borrowings issued at variable rates expose the Group to cash flow interest rate risk.

The Group manages its interest cost by using an optimal combination of fixed and variable rate debt instruments. Management is responsible for monitoring the prevailing market-based interest rate and ensures that the mark-up rates charged on its borrowings are optimal and benchmarked against the rates charged by other creditor banks.

In managing interest rate risk, the Group aims to reduce the impact of short-term fluctuations on the earnings. Over the longer term, however, permanent changes in interest rates would have an impact on profit or loss.

The management of interest rate risk is also supplemented by monitoring the sensitivity of the Group's financial instruments to various standard and non-standard interest rate scenarios.

The sensitivity to a reasonably possible 5% increase in the interest rates, with all other variables held constant, would have increased the Group’s profit before tax by P9,530 and P46,606 in September 30, 2025 and December 31, 2024, respectively. A 5% decrease in the interest rate would have had the equal but opposite effect. These changes are considered to be reasonably possible given the observation of prevailing market conditions in those periods. There is no impact on the Group’s OCI.

Interest Rate Risk Table

The terms and maturity profile of the interest-bearing financial instruments, together with its gross amounts, are shown in the following tables:

September 30, 2025 (Unaudited)	**Less than 1 Year**	**More than 1 Year but Less than 5 Years**	**More than 5 Years**	**Total**
Foreign Currency-denominated (expressed in Philippine Peso)				
Cash equivalents	**P4,745**	**P -**	**P -**	**P4,745**
Interest rate	**4.57% to 5.08%**	-	-	-
Investment in bonds	**-**	**-**	**115,459**	**115,459**
Interest rate	**-**	**-**	**5% -7.75%**	**-**
Loans payable	**-**	**-**	**(3,201)**	**(3,201)**
Interest rate	**-**	**-**	**2.5%**	**-**
Lease Liability	**(3,277)**	**(56,523)**	**-**	**(59,800)**
Interest Rate	**1.75%**			
Loans payable	**(515,054)**	**-**	**-**	**(515,054)**
Interest rate	**prime rate minus 0.75%**	**-**	**-**	**-**
Philippine Peso-denominated				
Cash equivalents	**1,233,246**	**-**	**-**	**1,233,246**
Interest rate	**1.13% to 6.00%**	**-**	**-**	**-**
Loans payable	**(584,800)**	**-**	**-**	**(584,800)**
Interest rate	**4.25% to 6.50%**	**-**	**-**	**-**
	P134,860	**(P56,523)**	**P112,258**	**P190,595**

December 31, 2024 (Audited)	Less than 1 Year	More than 1 Year but Less than 5 Years	More than 5 Years	Total
Foreign Currency-denominated (expressed in Philippine Peso)				
Cash equivalents	P868,116	P -	P -	P868,116
Interest rate	3.50% to 6.25%	-	-	-
Investment in bonds presented under “Other noncurrent assets”	-	-	115,459	115,459
Interest rate	-	-	5% - 7.75%	-
Loans payable	-	-	(3,181)	(3,181)
Interest rate	-	-	2.5%	-
Loans payable	(505,725)	-	-	(505,725)
Interest rate	prime rate minus 0.75%	-	-	-
Lease Liability	(13,782)	(56,523)	-	(70,305)
Interest rate	1.75%	-	-	-
Philippine Peso-denominated				
Cash equivalents	879,351	-	-	879,351
Interest rate	5.1% - 6.25%	-	-	-
Loans payable	(351,600)	-	-	(351,600)
Interest rate	5% - 6.1%	-	-	-
	P876,360	(P56,523)	P112,278	P932,115

Capital Management

The Group maintains a sound capital base to ensure its ability to continue as a going concern, thereby continue to provide returns to stockholders and benefits to other stakeholders and to maintain an optimal capital structure to reduce cost of capital.

The Group manages its capital structure and makes adjustments in the light of changes in economic conditions. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, pay-off existing debts, return capital to shareholders or issue new shares.

The Group monitors capital on the basis of debt-to-equity ratio, which is calculated as total debt divided by total equity. Total debt is defined as total current liabilities and total noncurrent liabilities, while equity is total equity as shown in the consolidated statements of financial position.

The Group's capital for the reporting periods is summarized in the table below:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Total liabilities	**P2,022,934**	P1,695,490
Total equity	**11,221,626**	10,671,643
Debt to equity ratio	**0.18:1**	0.16:1

RVF is required to comply with the following debt covenants in relation to its loan payable and long-term debt from a local bank: (1) maintain a tangible net worth of not less than $5,000 ; (2) maintain a fixed charge coverage ratio, as of the last day of each month for the period of twelve months then ended, of not less than 1.2 to 1.0; and (3) maintain, as of the last day of each month a ratio of total debt to tangible net worth of not greater than 3.25 to 1.0. RVF has complied with the foregoing covenants as of December 31, 2024, except for the second covenant referring to the maintenance of a certain fixed charge coverage ratio. The bank constructively waived the breach of this covenant in light of the recent renewal of the loan and the non-issuance of any notice of breach. The said loan is likewise fully secured with collateral assets.

RVF has complied with all the foregoing covenants as of September 30, 2025.

There were no changes in the Group's approach to capital management during the year.

22. Financial Assets and Financial Liabilities

The table presents comparison by category of the carrying amounts and fair values of the Group's financial instruments:

	September 30, 2025 (Unaudited)		December 31, 2024 (Audited)	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
Financial Assets				
Cash and cash equivalents	**P2,224,875**	**P2,224,875**	P2,336,093	P2,336,093
Trade and other receivables*	**2,074,007**	**2,074,007**	1,473,730	1,473,730
Other noncurrent assets**	**126,164**	**126,164**	125,945	125,945
Financial Liabilities				
Loans payable	**1,103,055**	**1,103,055**	860,506	860,506
Accounts payable and accrued expenses***	**719,682**	**719,682**	683,002	683,002
Lease liability	**59,800**	**59,800**	70,305	70,305
Other noncurrent liability	**1,000**	**1,000**	1,000	1,000

**Excluding advances to employees amounting to P9,767 and P6,462 as of September 30, 2025 and December 31, 2024, respectively; and government receivables amounting to P62,018 as at September 30, 2025 and December 31, 2024.*

***Excluding input VAT-noncurrent amounting to P169,000 as at September 30, 2025 and December 31, 2024.*

****Excluding customer deposits amounting to P25,174 and P47,474 and government payables amounting to P5,322 and P8,071 as at September 30, 2025 and December 31, 2024, respectively.*

Cash and Cash Equivalents, Trade and Other Receivables (excluding advances to employees and receivables from government, Accounts Payable and Accrued Expenses (excluding customer deposits and government payables) and Other Current Liabilities

The carrying amounts of cash, trade and other receivables, accounts payable and accrued expenses and other current liabilities approximate their fair values due to relatively short-term maturities of these financial instruments.

Investment in Bonds

The fair value of interest-bearing investment in bonds is based on the discounted value of expected future cashflows using the applicable market rates for similar types of instruments as at reporting date.

Other Noncurrent Assets (excluding advances to suppliers, CIP and net input VAT - noncurrent portion), Lease Liabilities, Loans payable, Long-term Debt and Other Noncurrent Liability

The fair value of other noncurrent assets, obligation under lease, loans, long-term debt and other noncurrent liability is estimated as the present value of all future cash flows discounted using the prevailing market rate of interest for a similar instrument as at the end of the reporting period.

23. Basic and Diluted Earnings Per Share

Basic and diluted EPS is computed as follows:

	September 30, 2025 (Unaudited)	September 30, 2024 (Unaudited)
Net income available to common shares (a)	**P636,253**	P338,545
Weighted average number of common shares outstanding (in thousands) (b)	**3,798,406**	3,798,406
Basic/diluted earnings per share (a/b)	**P0.17**	P0.09

**Earnings (loss) per share are computed based on amounts in thousands.*

24. Other Matters

Registration with the BOI

The Parent Company's registrations with BOI (Note 14) also entitled it, apart from ITH incentives, to the following major or key incentives:

- Importation of capital equipment, spare parts and accessories at zero duty from date of effectivity of Executive Order (EO) No. 85 and its Implementing Rules and Regulations.

- Additional deduction for labor expense for a period of five (5) years from registration an amount equivalent to fifty percent (50%) of the wages corresponding to the increment in number of direct labor for skilled and unskilled workers in the year of availment as against the previous year if the project meets the prescribed ratio of capital equipment to the number of workers set by the Board. This may be availed of for the first (5) years from date of registration but not simultaneously with the ITH.

- Importation of consigned equipment for a period of ten (10) years from date of registration, subject to posting of re-export bond.

- Employment of foreign nationals. This may be allowed in supervisory, technical or advisory positions for five (5) years from the date of registration. The president, general manager, and treasurer of foreign-owned enterprises or their equivalent shall not be subject to the foregoing limitations.

- Simplification of customs procedures for the importation of equipment, spare parts, raw materials and supplies.

- Exemption from wharfage dues and any export tax, duty, impost and fee for a period of ten (10) years from date of registration.

- Exemption from local business tax for a period of four (4) years from the date of registration, pursuant to Section 133(g) of R.A. No. 7160, otherwise known as Local Government Code.

AXELUM RESOURCES CORP. AND SUBSIDIARIES
SEC FORM 17-Q
As of September 30, 2025
(All amounts in Php thousands)

The table below shows the aging of Trade and Other Receivables as of September 30, 2025:

	Trade	**Others**	**Total**
Current	P1,488,830	P224,562	P1,713,392
Past due:			
Less than 30 days	201,691	-	201,691
31 - 60 days	96,318	-	96,318
61 - 90 days	45,989	-	45,989
over 90 days	16,617	-	16,617
	P1,849,445	**P224,562**	**P2,074,007**

**Excluding advances to employees amounting to P9,767 and government receivables amounting to P62,018 as at September 30, 2025.*